



Budget & Budgetary Control



Budget

A plan for allocating resources, especially, allocates the scarce resources to various endeavors of organization.

After plan, **First priority is to obtain resources to do work.**

The act of preparing a budget is called **Budgeting.**



Budget

Over-funding - produce waste/encourage slack management

Under-funding - inhibits accomplishments/creates frustration

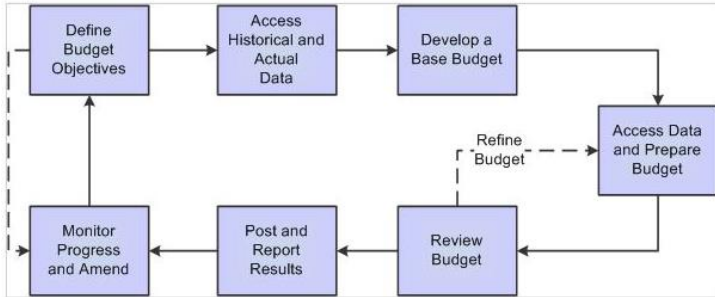
Need to forecast

- resources required
- quantity and time required
- cost including price inflation



Budget

Budget Planning:



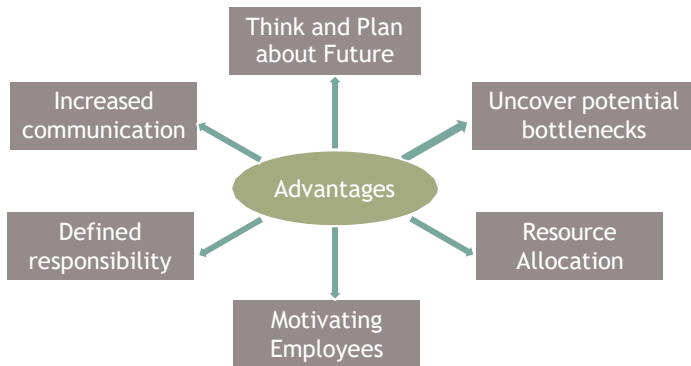
Budgetary Control

The use of budgets to control an organization's activities is known as **Budgetary Control**.

- Must be aligned with the organizational goals
- May cause misinterpretation to management
- Data collection and reporting
- Must be carefully designed and controlled



Budget & Budgetary Control





Advantages

- Compels management to think about the future, which is probably the most important feature of a budgetary planning and control system. Forces management to look ahead, to set out detailed plans for achieving the targets for each department, operation and (ideally) each manager, to anticipate and give the organization purpose and direction.
- Promotes coordination and communication.

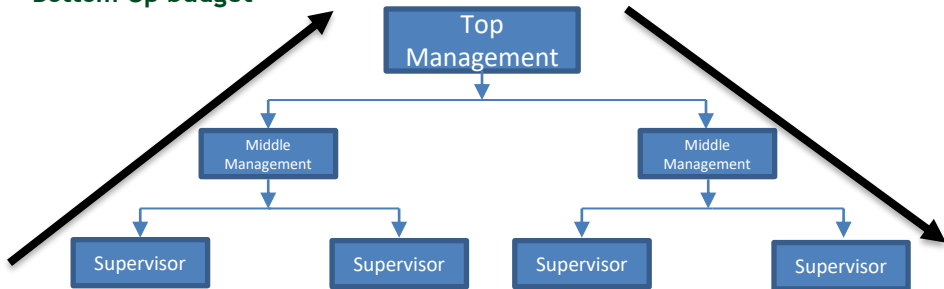


Advantages

- Clearly defines areas of responsibility. Requires managers of budget centers to be made responsible for the achievement of budget targets for the operations under their personal control.
- Motivates employees by participating in the setting of budgets.
- Improves the allocation of scarce resources.
- Economizes management time by using the management by exception principle.

Types of Budget

- Top-Down budget
- Bottom-Up budget



Types of Budget

Two budgets are never going to be same



Top-Down budget

- Managers estimate overall project cost as well as cost of major subprojects
- Lower levels breakdown the estimates for the specific tasks
- Mainly prepared based on “*considerable past experience*”

Bottom-Up budget

- Elemental tasks, schedules and individual budgets are constructed following Work Breakdown Structure (WBS)
- People related to work are consulted regarding times and budgets for accuracy
- Start with estimating in terms of resources, e.g., labor hr, material

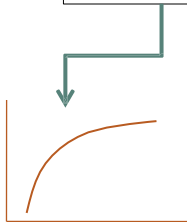
Iterative Budget



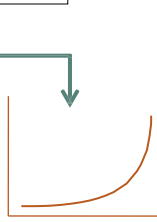
First, senior management needs to increase top-down budget

Next, junior team involved in real work reduces bottom-up budget

If negotiation point is not reached



If low impact at final stage,
accept the seniors' one



If high impact at final stage,
accept the juniors' one



*Thank
You*